5-1 Why Do Nations Trade?

Learning Objective 5-1

Use the resource-based and institution-based views to answer why nations trade.

Internationally, trade means **export** (Selling abroad.) (sell abroad) and **import** (Buying from abroad.) (buy from abroad). Table 5.1 provides a snapshot of the top 10 exporting and importing nations in the two main sectors: **merchandise (goods)** (Tangible products being traded.) and **services** (Intangible offering being traded.) . In merchandise exports, China, the United States, and Germany are the top three. In merchandise imports, the top three are the United States, China, and Germany. In services, the United States is both the largest exporter and the largest importer. Britain and Germany are the top two and three service exporters, respectively. China and Germany are the top two and three service importers, respectively.

Why do nations trade? Without getting into details, we can safely say that there must be economic gains from trade (see PengAtlas Map 2.1 and 2.2). More importantly, both sides must share such gains—otherwise, there will be no willing exporters and importers. In other words, international trade is a *win-win* deal. Figure 5.1 shows that world trade growth (averaging more than 5% between 1993 and 2013) generally outpaces GDP growth (averaging nearly 3% during the same period). However, in 2012 and 2013, world trade grew at roughly the same rate as world GDP growth.

Figure 5.1

Growth in World Trade Generally Outpaces Growth in World GDP (Annual % Change)

Source: World Trade Organization, 2014, Modest trade growth anticipated for 2014 and 2015 following two-year slump, press release, April 14, Geneva: WTO (www.wto.org). The figure refers to merchandise (goods) exports.

Why are there gains from trade? How do nations benefit from such gains? The remainder of the chapter will answer these questions. Before proceeding, it is important to clarify that “nations trade” is a misleading statement. A more accurate expression should be: “Firms from different nations trade.” Unless different governments directly buy and sell from each other (such as arms sales), the majority of trade is conducted by firms, which pay little attention to country-level ramifications. For example, Wal-Mart imports a lot into the United States and does not export much. Wal-Mart thus directly contributes to the US **trade deficit** (An economic condition in which a nation imports more than it exports.) (a nation imports more than it exports), which is something the US government does not like. However, in most countries, governments cannot tell firms, such as Wal-Mart, what to do (and not to do) unless firms engage in illegal activities. Therefore, when we ask, “Why do nations trade?” we are really asking, “Why do *firms* from different nations trade?” When discussing the US–China trade whereby China runs a **trade surplus** (An economic condition in which a nation exports more than it imports.) (a nation exports more than it imports), we are really referring to thousands of US firms buying from and selling to China, which also has thousands of firms buying from and selling to the United States. The aggregation of such buying (importing) and selling (exporting) by both sides leads to the country-level **balance of trade** (The aggregation of importing and exporting that leads to the country-level trade surplus or deficit.) —namely, whether a country has a trade surplus or deficit.

Having acknowledged the limitations of the expression that “nations trade,” we will still use it. Why? Because it is commonly used and serves as a short-hand version of the more-accurate but more-cumbersome expression that “firms from different nations trade.” This clarification does enable us to use the two *firm-level* perspectives introduced earlier—namely, the resource-based and institution-based views—to shed light on why nations trade.

Recall from Chapter 4 that it is valuable, rare, inimitable, and organizationally derived (VRIO) products that determine the competitive advantage of a firm. Applying this insight, we can suggest that VRIO products generated by organizationally strong firms in one nation can lead to the competitive advantage of its exports (see the Opening and Closing Cases). Further, recall from Chapters 2 and 3 that numerous politically and culturally derived rules of the game (known as institutions) constrain and facilitate individual and firm behavior. For example, although American movies are the best in the world, Canada, France, and South Korea limit the market share of American movies. Thus, various regulations create trade barriers around the world. On the other hand, we also see the rise of rules that facilitate trade, such as those advocated by the World Trade Organization (WTO) (see Chapter 8).

Overall, why are there economic gains from international trade? According to the resource-based view, this is because some firms in one nation generate exports that are valuable, unique, and hard-to-imitate that firms from other nations find it beneficial to import (see In Focus 5.1). How do nations benefit from such gains? According to the institution-based view, different rules governing trade are designed to share (or not to share) such gains. The remainder of this chapter expands on these two perspectives.

In Focus 5.1

Still Made in Japan

On March 11, 2011, Japan suffered from a triple disaster—a 9.0 earthquake (its worst in recorded history), a huge tsunami, and a nuclear power plant accident. From a global standpoint, a lot of non-Japanese firms that relied on Made-in-Japan products were ill prepared for such a sudden catastrophic event. Despite the widely noted migration of manufacturing jobs to low-cost countries such as China and Malaysia, Japan has remained an export powerhouse. In 2010, it was the world's fourth-largest merchandise (goods) exporter (after China, Germany, and the United States), with US$765 billion exports. For example, Japan produces approximately one-fifth of the world's semiconductors and 40% of electronic components. While low-end products tend to be made overseas, "Japan has higher and higher market share of specialty materials as you go up the value chain," noted one expert. For example, Boeing outsourced 35% of the work on its newest 787 Dreamliner to Japanese manufacturers. Among them, Mitsubishi Heavy Industries built the 787's wings, and no one else in the world could do the job—Boeing had no plan B. On March 17, 2011, General Motors closed two US-based factories for a week, due to a lack of components arriving from Japan. For planes, cars, laptops, and phones assembled outside of Japan, the Made-in-Japan components may represent a relatively small amount, but they tend to be *mission-critical*. "If the Japanese cannot supply," noted another expert, "then no one is going to get their iPad" because no smart factory can build an iPad with only 97% of parts.

Sources: Based on *(1) Bloomberg Businessweek, 2011, Downsides of just-in-time inventory, March 28: 17–18; (2) Bloomberg Businessweek, 2011, Facing up to nuclear risk, March 21: 13–14; (3) Bloomberg Businessweek, 2011, Now, a weak link in the global supply chain, March 21: 18–19; (4) Bloomberg BusinessWeek, 2011, The cataclysm this time, March 21: 11–13.*

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